

Employee Leave Policy

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1. Purpose and Scope

This document outlines the leave entitlements, application process, approval workflow, and special-circumstance provisions applicable to all full-time employees of the company. It applies uniformly across all offices (Bengaluru, Austin, and Amsterdam) except where local statutory law requires a more generous entitlement, in which case the local statutory minimum takes precedence.

This policy does not apply to interns, contractors, or consultants engaged on a fixed-term deliverable basis, whose leave (if any) is governed by their individual contracts.

2. Leave Categories

2.1 Annual Leave

Every full-time employee is entitled to 20 working days of paid annual leave per calendar year. Leave accrues at a rate of 1.67 days per completed month of service, meaning a new employee joining mid-year will have a pro-rated entitlement for that first calendar year.

- A maximum of 5 unused annual leave days may be carried forward into the next calendar year.
- Any balance beyond the 5-day carry-forward cap is forfeited on December 31st and is not encashed.
- Employees may take annual leave in increments as small as half a day.
- No more than 10 consecutive working days of annual leave may be taken without Director-level approval.

2.2 Sick Leave

Employees are entitled to 12 days of paid sick leave per year. A medical certificate is required for sick leave exceeding 2 consecutive days. Unused sick leave does not carry forward to the next year and is not encashed upon exit.

2.3 Casual Leave

6 days of casual leave per year are available for personal or unforeseen circumstances not covered by other leave categories. Casual leave must be applied for at least 1 working day in advance, except in genuine emergencies, where retrospective approval may be granted by the reporting manager.

2.4 Maternity and Paternity Leave

- Maternity leave: 26 weeks of paid leave, in accordance with applicable labor law, available to birth mothers. Up to 8 weeks may be availed before the expected delivery date.
- Paternity leave: 2 weeks of paid leave, to be availed within 3 months of childbirth.

- Adoption leave: 12 weeks of paid leave for the primary adopting parent of a child under 12 months, and 2 weeks for the secondary adopting parent.

2.5 Bereavement Leave

Up to 5 days of paid leave is available in the event of the death of an immediate family member (spouse, parent, child, or sibling), and up to 2 days for the death of a grandparent, grandchild, or in-law.

2.6 Sabbatical Leave

Employees with 5 or more years of continuous service may apply for a single unpaid sabbatical of up to 3 months, subject to business needs and Director approval. Role and seniority are guaranteed on return, provided the employee returns within the agreed sabbatical window.

3. Application Process

All leave requests, regardless of category, are submitted and tracked through the internal HR portal. The process is designed to be lightweight for short leave and more structured for extended or planned absences.

3.1 Standard Workflow

- Step 1 — Employee submits a leave request via the HR portal, specifying category, dates, and (for extended leave) a brief reason.
- Step 2 — The direct reporting manager is notified automatically and must approve or reject the request within 2 working days.
- Step 3 — Upon approval, HR is notified automatically and the employee's leave balance is updated in real time.
- Step 4 — The employee's calendar and relevant team calendars are updated automatically to reflect the approved absence.

3.2 Notice Periods

Leave Type	Minimum Notice	Approval SLA
Annual Leave (1-4 days)	3 working days	2 working days
Annual Leave (5+ days)	2 weeks	3 working days
Sick Leave	None (same-day notification)	Automatic / retrospective
Casual Leave	1 working day	1 working day
Sabbatical	8 weeks	Director-level, up to 2 weeks

4. Unapproved Absence

Any absence not covered by an approved leave request will be treated as unpaid leave for payroll purposes and may be subject to disciplinary review under the Employee Conduct Policy. Repeated unapproved absence (three or more instances within a rolling 6-month period) will trigger a formal review by the employee's manager and HR Business Partner.

5. Public Holidays

In addition to the leave entitlements above, employees receive paid time off on all gazetted public holidays applicable to their base office location. A combined holiday calendar covering Bengaluru, Austin, and Amsterdam is published on the HR portal each January.

Where a public holiday falls on a weekend, the company does not automatically grant a substitute weekday off unless required by local law; any such substitution will be reflected in the annual holiday calendar for that office.

6. Special Circumstances

6.1 Leave During Notice Period

Employees serving a notice period may take previously approved annual leave, but new leave requests submitted during an active notice period require sign-off from both the reporting manager and HR, given handover and transition considerations.

6.2 Leave Encashment on Exit

Unused, accrued annual leave (subject to the 5-day carry-forward cap having already been applied for the prior year) is encashed at the employee's last-drawn basic salary rate as part of the final settlement. Sick leave and casual leave are not encashable under any circumstances.

6.3 Leave Without Pay (Extended)

In exceptional circumstances, an employee who has exhausted all applicable paid leave categories may request extended unpaid leave of up to 30 calendar days. Such requests require written justification and approval from both the department head and the HR Director, and continuous unpaid leave beyond 30 days may affect benefits continuity (see the Employee Benefits Guide).

7. Roles and Responsibilities

Role	Responsibility
Employee	Submit accurate, timely leave requests and ensure handover of critical work.
Reporting Manager	Review and act on requests within SLA; balance team coverage needs.
HR Department	Maintain accurate leave balances, resolve disputes, audit policy compliance.
HR Director	Approve exceptions, sabbaticals, and extended unpaid leave requests.

8. Frequently Asked Questions

Can I take annual leave during my probation period?

Annual leave accrues from the date of joining, but employees are generally discouraged from taking extended leave during the first 3 months (probation) except for genuine emergencies, subject to manager discretion.

What happens if my leave request is rejected?

The reporting manager must provide a written reason for rejection via the HR portal. Employees may escalate a rejection they believe to be unreasonable to their HR Business Partner for review.

Can I cancel an approved leave request?

Yes, approved leave can be cancelled up to 24 hours before the leave start date via the HR portal, which will restore the corresponding balance automatically.

9. Exceptions and Policy Ownership

Exceptions to this policy require written approval from both the department head and HR Director. This policy is reviewed annually by the HR Department and is subject to change to remain compliant with evolving labor law across all office jurisdictions. Employees will be notified of material changes at least 30 days before they take effect.